is seeking an even greater measure of authority. This is reflected in efforts to suggest an equivalence in eminence and in power with Mao. For example, there are reports that Xi may be anointed as party chairman, a position given up in 1982 under Deng Xiaoping, who wanted a more collective form of leadership and a rejection of the personality cult around a leader that was the hallmark of Mao's leadership. The party constitution already recognises Xi as an outstanding ideologue of the party. His ideas are enshrined in the constitution as "Xi Jinping Thought on Socialism with Chinese Characteristics in a New Era". This phrase may be replaced by a more pithy "Xi Jinping Thought", again establishing an equivalence with Mao, whose ideas are encapsulated as "Mao Zedong Thought". Finally, party media have begun to refer to Xi as the "helmsman", as Mao was often addressed. It is clear that we should expect a more powerful, a more ideologically inclined and assertive leader of China after the party congress.



GETTY IMAGES

A GROWING DISTANCE
Prime Minister Narendra Modi and Xi Jinping (extreme right) along with other heads of state at the Shanghai Cooperation Organisation (SCO) Summit in Samarkand, Uzbekistan, in September

China is confronting an unprecedented, even crisis-like, situation on the economic front. There are structural reasons why China's GDP growth is unlikely to sustain the high rate witnessed over the past four decades. Like other mature economies, China is experiencing declining factor productivity. Its population has begun to decline and is rapidly aging. The external economic environment, which was so favourable to China over the years when the "Washington Consensus" of open markets and efficient supply chains reigned, is now over. These structural factors are currently exacerbated by more cyclical and short-term factors. These include a high rate of indebtedness, supply chain disruptions triggered by the persistence with its zero-Covid policy and the bursting of the over-leveraged property market, which has been the main driver of Chinese growth over the past several years. Against a target of 5.5 per cent GDP growth for the current year, the likely outcome may be closer to 3 per cent or less. How may the party congress deal with this adverse situation?

A survey of Chinese media indicates that while acknowledging the severity of the economic setbacks, the party leadership is unlikely to abandon the zero-Covid policy, and hence the frequent lockdowns and economic disruptions are likely to continue. The zero-Covid policy is associated personally with Xi Jinping and was seen as a great success during the initial wave of the pandemic. It was projected as a demonstration of the superiority of the socialist system and the superior wisdom of Xi Jinping's leadership. How can it now be admitted that he was perhaps wrong?

It is also unlikely that the regulatory assault on the most successful and dynamic of Chinese private sector entities, like Alibaba or Weibo, will be halted or reversed. The renewed emphasis on state-owned enterprises (SOEs) as the advance guard in the economic and technological transformation of the Chinese economy will be reaffirmed. In dealing with the property crisis, it is again the SOEs that are leading the effort to turn around financially strained private companies. The emphasis on economic self-reliance remains under the "dual circulation" policy, which clearly gives precedence to import substitution and relative technological autonomy.

A more assertive posture towards India is likely, even if there are tactical shifts dictated by the G20 and SCO summits

Ideological factors will influence economic decisions more than mere pragmatism. We are likely to see greater focus on technological self-reliance and this may be reflected in the emergence of a more highly educated and technocratic new generation of leaders. Xi Jinping believes that technology will be the decisive battleground of the future and the source of power of a modern state. We should expect a much greater emphasis on, and investment in, the acquisition of high-tech capabilities.

The party leadership recognises that it confronts a more adverse and